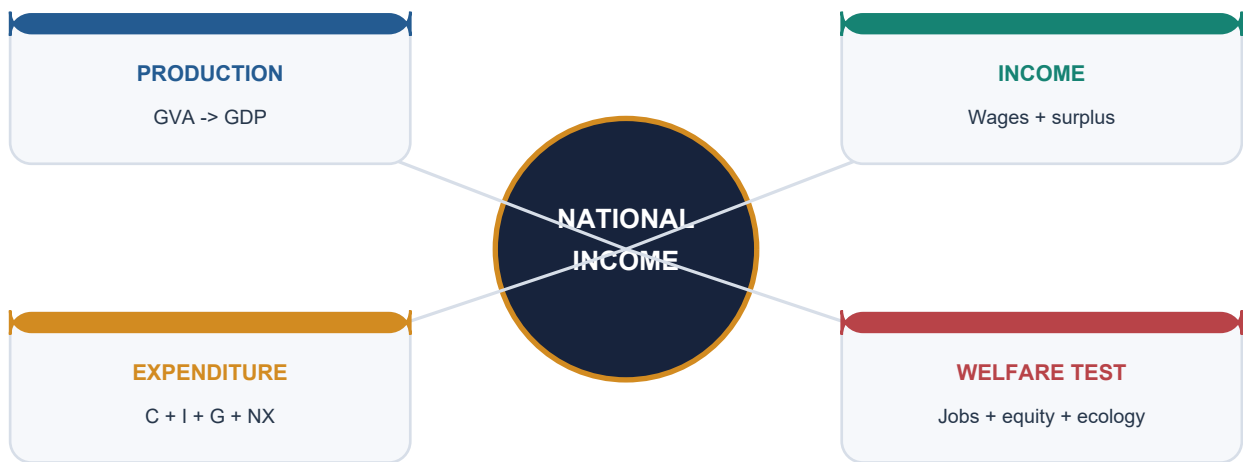


SOLVED PRACTICE WORKBOOK

Polity 34 - NITI Aayog - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

PYQ, Practice and Solved Workbook

Workbook boundary: This H2 begins the extractable practice section. The separate workbook ends before the final consolidated register notes. **PYQ evidence rule:** exact wording is used only where verified. No official model answer is claimed because UPSC does not publish one for Mains. The local 2019 objective-key ledger lacks a held official key, so no official-key claim is made. **Rotation rule:** the 36 original MCQs and 12 remedial MCQs contain exactly 48 answer markers in uninterrupted A -> B -> C -> D rotation.

Verified routed PYQ 1 - UPSC GS-III 2018, Q11 - 15 marks, 250 words

Verified question: “How are the principles followed by the NITI Aayog different from those followed by the erstwhile Planning Commission in India?”

Directive decode: “How different” requires a criterion-based comparison, not two disconnected descriptions. “Principles” prioritises philosophy, federal method, planning logic, resource role and institutional influence. A high-scoring answer must also note continuity in legal status.

Evidence-led model solution

NITI Aayog and the erstwhile Planning Commission were both created by Union Cabinet resolutions and were therefore non-constitutional and non-statutory. The major change was not legal form but governing principle: from directive resource planning to advisory, cooperative and evidence-based coordination.

First, the Planning Commission worked through centrally framed Five-Year Plans and State plan negotiations; NITI's 2015 resolution instead emphasises a shared national vision, active State participation and planning from the village level upward. This changes States from negotiated recipients within a central plan to partners in the Governing Council. The qualification is that agenda-setting and fiscal dependence can still make consultation Union-led.

Second, the Commission combined plan formulation with substantial resource-allocation influence. NITI has no corresponding authority to allocate plan grants; constitutional devolution remains with the Finance Commission process and budgetary control with competent governments. NITI therefore relies on persuasion rather than purse strings.

Third, fixed Five-Year Plans gave way to flexible strategies, missions, policy reports and feedback-based correction. DMEQ, the SDG Index and Aspirational Districts illustrate monitoring, evaluation and competitive federalism. Yet rankings can suffer from data lag, gaming and indicator bias.

Fourth, the Commission's relationship with the National Development Council centred on national plan approval, while NITI's Governing Council is a continuing development-policy forum whose consensus is not law.

Thus, the shift is from command, allocation and uniform planning toward strategy, cooperative and competitive federalism, knowledge and outcomes. It gains flexibility and State dialogue but loses direct fiscal leverage; its success depends on credibility, participation and implementation follow-through.

What an outstanding answer must contain

- same legal status, different operating philosophy;
- top-down versus bottom-up/federal partnership;
- Five-Year Plan and resource-allocation role versus advisory strategy/M&E;
- NDC relationship versus Governing Council;
- one mechanism such as ADP/SDG/DMEQ;
- a balanced qualification on weak leverage, data or State participation;
- a verdict that evaluates the trade-off rather than merely praising the new body.

Verified routed PYQ 2 - UPSC Prelims 2019, Atal Innovation Mission route

Verified stem and options: “Atal Innovation Mission is set up under the: (a) Department of Science and Technology; (b) Ministry of Labour and Employment; (c) NITI Aayog; (d) Ministry of Skill Development and Entrepreneurship.”

Key-status control: The audited local routing ledger records that the held official key is unavailable. This package therefore does not label an option as an officially verified UPSC key.

Evidence-led resolution: Official NITI and PIB material identifies Atal Innovation Mission as an initiative under NITI Aayog. That named institutional evidence resolves the underlying concept. The exam trap is to associate “innovation” automatically with the science or skill ministries.

Current qualification: AIM was continued as AIM 2.0 by Cabinet approval in November 2024 through 31 March 2028. Its current programme architecture may evolve, but institutional ownership remains officially linked to NITI.

Visual 62 - PYQ route map

PYQ	Core knowledge	Required evidence	Main trap
2018 GS-III Q11	Planning Commission-NITI principles	1950/2015 resolutions, plan/resource role, Governing Council	listing functions without comparison
2019 Prelims AIM	institutional setup	official NITI/PIB ownership	guessing from programme name

Original MCQs - 36 questions

Q1. Which description most accurately captures NITI Aayog’s legal status?

A. An executive, non-constitutional and non-statutory institution created by Union Cabinet resolution B. A statutory body created under the Finance Act C. A constitutional commission under Article 280 D. A parliamentary committee established by resolution of both Houses

Answer: A.

Explanation: [FACT] The Cabinet resolution of 1 January 2015 is the creating source. [LIMIT] Executive status does not make its recommendations law.

Q2. Which one of the following is NOT a power of NITI Aayog?

A. Preparing strategic policy advice B. Allocating the divisible pool of Union taxes among States C. Supporting programme monitoring D. Convening development-policy dialogue

Answer: B.

Explanation: [FACT] Article 280 governs Finance Commission recommendations on tax distribution. NITI has no constitutional devolution power.

Q3. The most accurate statement about NITI Aayog and the Planning Commission is:

A. NITI became constitutional while the Commission was statutory. B. The Commission was constitutional while NITI is statutory. C. Both were created by executive resolution, but their functions and principles differ. D. Both were created by Acts of Parliament.

Answer: C.

Explanation: [FACT] Legal status is a continuity; resource role, planning method and federal philosophy are major differences.

Q4. Which statement best distinguishes a NITI Regional Council?

A. It is a permanent body under Article 263. B. It is one of the statutory Zonal Councils. C. It is a second chamber for affected States. D. It is formed for a specified tenure to address a multi-State or regional issue.

Answer: D.

Explanation: [FACT] The 2015 resolution provides issue-specific Regional Councils for a specified tenure.

Q5. In the foundational NITI framework, who is the Chairperson?

A. Prime Minister B. President of India C. Union Finance Minister D. Vice-Chairperson of NITI

Answer: A.

Explanation: [FACT] The Prime Minister is Chairperson.

Q6. Which body is constitutionally tasked with periodic recommendations on Union-State tax distribution?

A. NITI Aayog B. Finance Commission C. Inter-State Council D. Governing Council of NITI

Answer: B.

Explanation: [FACT] Article 280 creates the Finance Commission.

Q7. Consider the following statements:

1. NITI's Governing Council is a constitutional legislature.
2. Its consensus may influence Union and State policy.
3. A separate competent authority may need to enact or notify the agreed policy.

Which of the statements given above are correct?

A. 1 and 2 only B. 1 and 3 only C. 2 and 3 only D. 1, 2 and 3

Answer: C.

Explanation: [FACT] The Council is an executive policy forum, not a legislature. Policy influence does not remove legal implementation steps.

Q8. Which institutional category was capped at a maximum of four in the 2015 foundational resolution?

A. full-time members B. Chief Ministers in the Governing Council C. Regional Councils D. ex-officio Union Ministers

Answer: D.

Explanation: [FACT] The resolution provides up to four ex-officio members from the Union Council of Ministers, nominated by the Prime Minister.

Q9. "Bottom-up planning" in NITI's mandate most directly refers to:

A. credible plans beginning at village level and aggregating upward B. replacing State legislatures with district committees C. making district dashboards legally binding D. eliminating Union policy priorities

Answer: A.

Explanation: [FACT] Village-level upward planning is in the official objective. [LIMIT] Actual devolution still depends on constitutional and State-law institutions.

Q10. Which one best describes the Governing Council?

A. a judicial dispute-resolution tribunal B. a high-level Union-State/UT development-policy forum C. a committee that divides GST revenue D. a statutory council under the States Reorganisation Act

Answer: B.

Explanation: [FACT] It is the apex federal policy forum within NITI's structure.

Q11. The abolition of plan/non-plan expenditure classification is correctly attributed to:

A. a constitutional amendment establishing NITI B. the Finance Commission's Article 280 order C. the Government's Union Budget 2017-18 reform D. a Governing Council law

Answer: C.

Explanation: [FACT] Official Budget 2017-18 documents removed the classification. NITI did not unilaterally abolish it.

Q12. Which of the following is the strongest limitation of treating a composite index rank as an outcome?

A. every rank is a constitutional decision B. all indicators are necessarily fraudulent C. ranking removes the need for evaluation D. indicator selection, data quality and aggregation may obscure reality

Answer: D.

Explanation: [LIMIT] Composite scores are useful but method-dependent and non-causal.

Q13. The "3C" logic associated with the Aspirational Districts model is:

A. convergence, collaboration and competition B. command, control and compliance C. capacity, capital and courts D. consultation, Constitution and cesses

Answer: A.

Explanation: [FACT] Official programme design uses convergence, collaboration and competition.

Q14. Which institution is an attached office under NITI associated with monitoring and evaluation?

A. GST Council Secretariat B. Development Monitoring and Evaluation Office C. Finance Commission Division D. Inter-State Council Secretariat

Answer: B.

Explanation: [FACT] DMEO is linked to NITI as an attached office.

Q15. Delta ranking primarily seeks to compare:

A. constitutional powers of districts B. absolute population size only C. incremental improvement over a period D. the number of elected representatives

Answer: C.

Explanation: [FACT] Delta focuses on change, which can highlight improvement by initially weaker units.

Q16. Which is the best qualification to the claim that NITI promotes cooperative federalism?

A. States have no constitutional existence. B. all Council decisions are judicially enforceable. C. NITI controls every State budget. D. participation and follow-up may vary, while recommendations remain non-binding.

Answer: D.

Explanation: [LIMIT] Institutional opportunity for voice does not guarantee equal agenda control or implementation.

Q17. Atal Innovation Mission is best classified as:

A. an initiative under NITI Aayog B. a constitutional commission C. a statutory university regulator D. a Finance Commission grant

Answer: A.

Explanation: [FACT] Official NITI and Cabinet material place AIM under NITI.

Q18. Which body makes recommendations on GST design under Article 279A?

A. NITI Aayog B. GST Council C. Inter-State Council D. State Finance Commission

Answer: B.

Explanation: [FACT] GST Council and NITI have distinct constitutional/executive sources and functions.

Q19. Which pair is correctly matched?

A. Zonal Council - executive resolution of 2015 B. NITI Regional Council - Article 280 C. Inter-State Council - Article 263 D. Finance Commission - States Reorganisation Act, 1956

Answer: C.

Explanation: [FACT] Article 263 provides the constitutional basis for an Inter-State Council.

Q20. The latest officially verified Governing Council meeting for this package was:

A. the 10th meeting on 11 June 2026 B. the 11th meeting on 24 May 2025 C. the 12th meeting on 15 August 2026 D. the 11th meeting on 11 June 2026

Answer: D.

Explanation: [CURRENT] Official NITI and PIB releases verify the 11th meeting on 11 June 2026.

Q21. Which proposition most accurately describes the “Viksit Bharat@2047” theme?

A. It is a strategic policy horizon requiring specific metrics for outcome claims. B. It is a self-executing constitutional amendment. C. It automatically binds State budgets. D. It proves every discussed outcome has been achieved.

Answer: A.

Explanation: [LIMIT] A horizon or slogan must be translated into baselines, targets, authority and measurable results.

Q22. A State Institution for Transformation is:

A. mandatory under Part IX of the Constitution B. a State-owned strategy/capacity model supported under the State Support Mission C. identical to a State Finance Commission D. a branch of the Supreme Court

Answer: B.

Explanation: [FACT] Official SSM design supports creation or strengthening of State strategy institutions. [LIMIT] It is not constitutionally compulsory.

Q23. Which sequence best represents evidence-based policy learning?

A. rank -> law -> tax -> grant B. meeting -> achievement -> closure -> audit C. design -> implementation data -> evaluation -> correction D. slogan -> dashboard -> automatic causation -> success

Answer: C.

Explanation: [ANALYSIS] Evidence must feed a decision by the competent authority.

Q24. Goodhart's-law risk in a dashboard means:

A. indicators can never be useful B. evaluation must be abolished C. every target should be secret D. actors may optimise the measured indicator rather than the underlying purpose

Answer: D.

Explanation: [LIMIT] Measurement needs audits, mixed methods and outcome checks.

Q25. Which feature most directly expresses competitive federalism?

A. comparative performance and peer benchmarking B. constitutional tax devolution C. judicial review D. parliamentary privilege

Answer: A.

Explanation: [ANALYSIS] Rankings and peer comparison create reputational incentives.

Q26. Which one is a correct boundary?

A. NITI substitutes for elected local bodies. B. NITI may support local outcome monitoring, while actual local devolution depends on State constitutional governance. C. district collectors enact constitutional amendments. D. State Finance Commissions are NITI divisions.

Answer: B.

Explanation: [FACT] Parts IX and IX-A and State laws govern local institutions.

Q27. Compared with the Planning Commission, NITI's influence relies more on:

A. statutory coercion B. constitutional adjudication C. advice, convening, evidence and reputation D. mandatory plan grants

Answer: C.

Explanation: [ANALYSIS] NITI's soft instruments replace much of the Commission's fiscal leverage.

Q28. Which statement about the National Development Council is safest?

A. It is currently a constitutional chamber. B. Parliament abolished it by constitutional amendment. C. It now allocates NITI grants. D. Its Five-Year Plan approval role effectively lapsed with the old plan architecture.

Answer: D.

Explanation: [LIMIT] "Effectively lapsed" avoids inventing a formal statutory abolition.

Q29. Which one is an outcome rather than an output?

A. increased learning achievement after an education intervention B. number of classrooms constructed C. number of teachers trained D. amount of funds released

Answer: A.

Explanation: [FACT] Outcomes describe changed conditions or behaviour; outputs are delivered goods/services.

Q30. Which is the strongest case for publishing index methodology?

A. it allows NITI to legislate B. it permits scrutiny of indicator choice, data and aggregation C. it eliminates all uncertainty D. it converts rank into causal proof

Answer: B.

Explanation: [ANALYSIS] Transparency improves credibility without making the method infallible.

Q31. The CEO under the foundational resolution is:

A. elected by the Governing Council B. appointed by the President under Article 280 C. appointed by the Prime Minister for a fixed tenure in Secretary rank D. automatically the Cabinet Secretary

Answer: C.

Explanation: [FACT] This is the official 2015 design.

Q32. Which reform best preserves NITI's flexibility while improving accountability?

A. giving it power to overrule State legislatures B. ending all State consultation C. replacing every ministry with NITI divisions D. publishing methods, evaluations and action-taken reports

Answer: D.

Explanation: [ANALYSIS] Transparency and follow-up address credibility without recreating command planning.

Q33. Which statement on programme implementation is most accurate?

A. NITI may coordinate and monitor while ministries, States and field agencies implement many interventions. B. NITI directly delivers every district service. C. Governing Council members are district programme officers. D. dashboard ownership proves sole implementation responsibility.

Answer: A.

Explanation: [LIMIT] Coordination and implementation must be separated.

Q34. The latest SDG India Index edition located by the control date is:

A. 2025-26 B. 2023-24 C. 2026-27 D. 2024-25

Answer: B.

Explanation: [CURRENT] 2023-24 remains the latest located official edition as of 19 August 2026.

Q35. Which institutional trade-off best describes NITI?

A. taxation versus adjudication B. monarchy versus republic C. flexibility versus formal accountability, and persuasion versus fiscal leverage D. bicameralism versus unicameralism

Answer: C.

Explanation: [ANALYSIS] Executive flexibility and soft influence are strengths with corresponding accountability and uptake limits.

Q36. Which conclusion is best?

A. NITI has no value because it cannot legislate. B. NITI replaced all federal institutions. C. NITI's rankings prove causal success. D. NITI is useful when credible evidence, State ownership and competent implementation convert advice into outcomes.

Answer: D.

Explanation: [ANALYSIS] The verdict recognises both institutional purpose and dependence on other authorities.

Remedial MCQs - 12 questions

R1. A student writes: “NITI Aayog is unconstitutional because it is not mentioned in the Constitution.” The best correction is:

A. It is non-constitutional, not unconstitutional; the executive may create an advisory institution by resolution. B. It is constitutional under Article 279A. C. It is statutory under the NITI Aayog Act, 2015. D. It is a court-created institution.

Answer: A.

Explanation: [FACT] Source classification and legal validity are different questions.

R2. A question asks which body NITI did NOT replace. The best option is:

A. Planning Commission B. Finance Commission C. plan-era strategy institution D. central policy think-tank role

Answer: B.

Explanation: [FACT] Article 280 continues independently.

R3. Which combination is correct?

1. Regional Councils: issue-specific and specified tenure.
2. Zonal Councils: statutory.
3. Inter-State Council: linked to Article 263.

A. 1 only B. 1 and 2 only C. 1, 2 and 3 D. 2 and 3 only

Answer: C.

Explanation: [FACT] The three bodies differ in source and duration even though all can involve intergovernmental coordination.

R4. Which sentence should be deleted from a Mains answer?

A. NITI advises on strategy. B. NITI supports monitoring. C. NITI convenes a Governing Council. D. NITI's Governing Council can enact binding national development laws.

Answer: D.

Explanation: [LIMIT] A policy forum is not a legislature.

R5. Which thesis best answers “Is NITI toothless?”

A. Its non-binding design limits coercion, but ideas, convening, data and evaluation remain meaningful soft powers whose impact depends on uptake. B. It has exactly the same allocation authority as the Planning Commission. C. It can invalidate State laws. D. It distributes the divisible pool.

Answer: A.

Explanation: [ANALYSIS] A graded thesis avoids both dismissal and exaggeration.

R6. A district improves rapidly from a low base but remains below the national average. Which measure best captures its recent progress?

A. only absolute rank B. delta or incremental improvement C. population size D. constitutional status

Answer: B.

Explanation: [FACT] Delta and level measure different dimensions.

R7. Which is a defensible inference from the 11th Governing Council theme?

A. every State achieved inclusive human development B. the theme amended the Constitution C. the Council's 2026 agenda emphasised human-development foundations of the 2047 vision D. NITI acquired statutory powers

Answer: C.

Explanation: [CURRENT] A meeting theme establishes agenda, not outcome.

R8. Which data reform most directly reduces gaming?

A. using a single unverified indicator B. rewarding only the highest rank C. suppressing methodology D. independent validation, anomaly checks and mixed evidence

Answer: D.

Explanation: [ANALYSIS] Audit and triangulation make manipulation harder and interpretation stronger.

R9. Which statement about State Institutions for Transformation is correct?

A. They are supported State strategy/capacity mechanisms, not mandatory constitutional bodies. B. They replace State Cabinets. C. They are created by Article 243-I. D. They alone approve State budgets.

Answer: A.

Explanation: [FACT] SSM supports State-owned institutional capacity; legal authority remains with the State's competent organs.

R10. If a NITI report recommends an energy policy, what ordinarily follows before legal enforcement?

A. nothing; the report is automatically law B. action by the competent ministry, Cabinet, legislature, regulator or State as legally required C. approval by the Supreme Court in every case D. an Article 280 award

Answer: B.

Explanation: [LIMIT] Advisory output and enforceable governmental action are distinct.

R11. Which comparison is correct?

A. NITI and GST Council are both created by Article 279A. B. Finance Commission is an executive think-tank. C. NITI is broad policy/M&E; GST Council is constitutional GST coordination. D. Inter-State Council distributes tax devolution.

Answer: C.

Explanation: [FACT] Source and subject-matter must be separately identified.

R12. Which final sentence best fits a reform answer?

A. Make every NITI report judicially binding. B. Restore command planning without State consultation. C. Abolish all indices. D. Retain flexibility but add co-designed agendas, auditable data, published evaluation and action-taken reporting.

Answer: D.

Explanation: [ANALYSIS] Reform should improve credibility and follow-through without recreating centralised allocation planning.

Visual 63 - MCQ error-remedy map

Error	Remedy
source confusion	identify Constitution, statute or resolution first
power exaggeration	ask who must legally implement
rank worship	separate level, delta, method and causation
programme brochure memory	state problem, mechanism, implementer and limit
current-affairs overclaim	use date/theme as agenda evidence only

Original Solved Mains Practice - 8 questions

M1. 10 marks, 150 words - “NITI Aayog is influential without being authoritative.” Explain.

Demand

Explain the distinction between soft influence and formal legal authority, using mechanisms and limits.

Model solution

NITI Aayog is influential because it combines high-level convening, policy expertise, data and monitoring; it is not authoritative in the sense of possessing independent legislative, taxing or binding allocation power.

[FACT] The Cabinet Resolution of 1 January 2015 created NITI as an executive, non-constitutional and non-statutory institution. [ANALYSIS] Its Prime Minister-chaired Governing Council can place shared development priorities before Union and State leaders, giving advice political visibility. [LIMIT] Council consensus is not law and must be implemented by the competent legislature or executive.

[FACT] The Aspirational Districts model, SDG India Index and DMEQ illustrate informational influence. [ANALYSIS] Rankings, evaluation and peer learning can change administrative attention even without coercion. [LIMIT] data lag, gaming and weak departmental uptake can break the chain from evidence to outcome.

[FACT] Unlike the Planning Commission, NITI has no plan-grant allocation role. [ANALYSIS] It therefore depends on credibility, State ownership and ministry cooperation rather than purse strings.

Thus, NITI's authority is persuasive and networked: potentially significant when evidence and political coordination produce action, but limited when actors do not accept or implement its advice.

Examiner-grade features

- direct distinction between influence and authority;
- one legal source and two mechanisms;
- a qualification after each major claim;
- no false assertion of binding power.

M2. 10 marks, 150 words - Distinguish NITI Regional Councils, the Inter-State Council and Zonal Councils.

Demand

Classify by source, duration, membership logic and function; do not merely say all promote cooperation.

Model solution

The three mechanisms address intergovernmental coordination but have different legal foundations and institutional purposes.

[FACT] NITI Regional Councils arise from the 2015 Cabinet resolution. They may be formed for a specified tenure to address a particular issue or contingency affecting more than one State or region. [ANALYSIS] Their strength is flexible, problem-specific participation. [LIMIT] they are neither permanent constitutional councils nor legislatures.

[FACT] The Inter-State Council is enabled by Article 263 and operates under a presidential establishment order. It may inquire into disputes, discuss common subjects and recommend better coordination. [LIMIT] its advice is non-binding.

[FACT] Zonal Councils are statutory bodies under the States Reorganisation Act, 1956. They provide continuing regional forums for common problems and cooperation. [LIMIT] they are not NITI subdivisions; the North Eastern Council is also a separate statutory institution.

Therefore, the correct distinction is: executive ad hoc regional policy council, constitutionally enabled intergovernmental advisory council, and statutory zonal forum. Source determines identity; shared cooperative purpose does not erase legal differences.

Visual 64 - M2 three-column recall

NITI Regional Council	Inter-State Council	Zonal Council
2015 resolution	Article 263/order	1956 Act
specific tenure	continuing council	continuing statutory region
issue-specific development	general intergovernmental advice	zonal cooperation

M3. 15 marks, 250 words - Critically examine whether NITI Aayog has strengthened cooperative federalism.

Demand

Show the mechanism, evidence of institutional opportunity, practical limits and a graded verdict.

Model solution

NITI Aayog strengthened the institutional vocabulary and platforms of cooperative federalism, but the depth of cooperation remains contingent on State voice, political trust and implementation follow-through.

[FACT] The 2015 resolution placed a shared national vision and active State participation at the centre of NITI's mandate. The Governing Council includes State Chief Ministers and the relevant Union Territory leadership. [ANALYSIS] It creates a high-level forum where national priorities can be tested against varied State conditions. [LIMIT] the Council is not a second chamber; its consensus is non-binding, and agenda control may remain Union-heavy.

[FACT] Regional Councils can be formed for specified cross-State issues, while the State Support Mission supports State visions, analytics and State Institutions for Transformation. [ANALYSIS] These mechanisms can convert episodic consultation into continuing policy capacity. [LIMIT] units without staff, budget links or State ownership may produce reports rather than institutional change.

[FACT] Aspirational Districts/Blocks and the SDG framework encourage convergence and peer learning. [ANALYSIS] Common indicators can make intergovernmental gaps visible and spread practice. [LIMIT] rankings may create gaming, ignore context or stigmatise weak-capacity regions.

[CURRENT] The 11th Governing Council meeting on 11 June 2026, themed "Inclusive Human Development for Viksit Bharat@2047," confirms continued use of the platform. [LIMIT] a meeting and theme evidence deliberation, not

achieved outcomes.

Cooperative federalism is therefore procedurally stronger because States have dedicated forums and support mechanisms. Substantive federalism remains incomplete without co-designed agendas, transparent follow-up, credible data and respect for State and local autonomy.

Examiner-grade features

- evaluates “strengthened” against process and outcome;
- uses Governing Council, SSM and programme mechanisms;
- current evidence is dated and qualified;
- ends with conditions for deeper federalism.

M4. 15 marks, 250 words - “Competitive federalism can improve performance, but it can also corrupt measurement.” Discuss with reference to NITI Aayog.

Demand

Explain the incentive mechanism, benefits, Goodhart risk and safeguards.

Model solution

Competitive federalism uses comparison among States, districts or blocks to create reputational and administrative incentives. NITI Aayog operationalises it through indices, peer benchmarking and delta rankings.

[FACT] The Aspirational Districts model combines convergence, collaboration and competition, while delta ranking highlights incremental improvement. [ANALYSIS] This can motivate an initially weak district because recent progress, not only absolute level, gains visibility. Public comparison can also direct political attention and spread replicable practice. [LIMIT] delta improvement does not mean the district has reached an adequate absolute standard.

[FACT] The SDG India Index translates multiple development goals into comparable subnational indicators. [ANALYSIS] A common framework can expose gaps and encourage States to learn from peers. [LIMIT] a composite rank depends on data coverage, indicator selection, normalisation and weights; small rank differences may be substantively meaningless.

The principal danger is Goodhart’s law: once an indicator becomes a target, administrators may optimise reporting rather than welfare. Self-reported administrative data may be late, incomplete or gamed; measured sectors may receive attention at the expense of unmeasured needs; district averages may hide excluded communities.

Reform should combine level and delta measures, publish metadata and revisions, independently validate data, use qualitative and citizen evidence, compare similar units, and avoid automatic punitive consequences.

Thus, competition is valuable when embedded in cooperative rule-setting and credible evaluation. Without transparency and context, a performance dashboard can reward data management rather than development.

Visual 65 - M4 argument tree

COMPARISON

- +- benefit: attention, urgency, peer learning
- +- benefit: rewards improvement
- +- risk: gaming and tunnel vision
- +- risk: unfair context-free rank
- +- safeguard: audit + metadata + mixed evidence

M5. 15 marks, 250 words - Assess NITI Aayog's contribution to outcome-oriented governance.

Demand

Define outcome orientation; assess monitoring, evaluation and programme mechanisms; distinguish contribution from attribution.

Model solution

Outcome-oriented governance shifts attention from money spent and assets created to changes in citizen welfare, behaviour and service quality. NITI contributes by building results frameworks, monitoring mechanisms and evaluation capacity, but it cannot itself guarantee outcomes.

[FACT] DMEO, an attached office under NITI, monitors and evaluates government programmes and supports evidence-based decision-making. [ANALYSIS] A results chain connecting inputs, activities, outputs, outcomes and impact can identify where implementation fails and enable mid-course correction. [LIMIT] evaluation influence depends on data access, methodological quality, publication and departmental response.

[FACT] Aspirational Districts and Blocks use thematic indicators, convergence and comparative improvement. [ANALYSIS] They focus multiple schemes on local gaps and make change visible at district/block scale. [LIMIT] administrative capacity may be weakest where monitoring demands are highest; district or block averages can conceal distributional exclusion.

[FACT] SDG localisation provides a multi-sector outcome framework, while State Support Mission material supports State monitoring and analytics. [ANALYSIS] These tools can align national goals with State strategies. [LIMIT] a composite index is not causal proof that NITI or any single programme produced the observed change.

NITI's strongest contribution is institutional: it makes outcomes, feedback and comparative evidence part of policy conversation. Its weakness is the implementation gap because ministries, States and local agencies control many delivery levers.

Therefore, NITI should be judged by the credibility and use of evidence, not by attributing every observed welfare change to the think-tank.

Examiner-grade features

- defines output/outcome distinction;
- names DMEO, ADP/ABP and SDG;
- separates contribution from causal attribution;
- identifies competent implementers.

M6. 20 marks, 250 words - Has the replacement of the Planning Commission by NITI Aayog resolved the weaknesses of India's planning architecture?

Demand

Evaluate continuity, solved problems, new gaps and the post-2015 fiscal-planning ecosystem.

Model solution

Replacing the Planning Commission addressed rigidity and role conflict, but it did not fully resolve the need to connect long-term strategy, federal consent, budgets and implementation.

[FACT] Both institutions were created by Cabinet resolution; therefore, the change was functional rather than constitutional. [FACT] The Planning Commission combined Five-Year Plan formulation, State plan negotiations and resource-allocation influence. [ANALYSIS] This supported national coherence but encouraged top-down uniformity, bargaining and blurred fiscal accountability.

[FACT] NITI's 2015 mandate emphasises cooperative federalism, bottom-up planning, long-term strategy, knowledge, innovation, monitoring and evaluation. The Governing Council and State Support Mission broaden State engagement,

while DMEO and district/block mechanisms strengthen feedback. [ANALYSIS] These changes address rigidity, sectoral silos and weak outcome monitoring. [LIMIT] participation and follow-up remain uneven, and non-binding advice may be ignored.

The fiscal architecture is clearer: Article 280 Finance Commissions address devolution and grants; the Finance Ministry and legislatures control budgets; the GST Council coordinates GST. [LIMIT] NITI's lack of plan-grant leverage can leave strategy detached from finance. Centrally sponsored schemes and Union fiscal instruments still shape State choices, so centralisation did not disappear.

[FACT] Five-Year Plans ended with the Twelfth Plan and Budget 2017-18 separately abolished plan/non-plan classification. [ANALYSIS] Flexibility increased, but no single institution now guarantees integration of a 2047 horizon with medium-term fiscal commitments and State implementation.

The replacement resolved the concentration of planning and allocation in one body and created a more networked policy platform. It also produced a persuasion-dependent system. Resolution is therefore partial: stronger evidence and dialogue, but an enduring strategy-finance-implementation gap.

Visual 66 - M6 verdict balance

Resolved partly	Still unresolved
central plan rigidity	strategy-budget link
advice-allocation conflict	implementation leverage
limited M&E	data credibility
weak structured State platform	equal agenda ownership
inflexible plan horizon	long-term fiscal commitment

M7. 20 marks, 250 words - Examine the constitutional and democratic accountability questions raised by NITI Aayog's executive design.

Demand

Do not argue that executive creation is inherently invalid. Analyse flexibility, appointment control, parliamentary visibility, federal voice and data accountability.

Model solution

NITI Aayog's executive design is legally compatible with an advisory institution, but its policy influence raises accountability questions because broad agenda-setting, appointments and data systems operate without a dedicated constitutional or statutory framework.

[FACT] The Union Cabinet created NITI by resolution on 1 January 2015. [ANALYSIS] Executive form allows rapid reconstitution, flexible expertise and cross-sector work. [LIMIT] the same flexibility permits changes in composition, divisions and priorities without legislative amendment.

[FACT] The Prime Minister chairs NITI and appoints key institutional categories under the resolution. [ANALYSIS] This provides political access and coordination power. [LIMIT] it also concentrates agenda and appointment influence in the Union executive; transparent selection and tenure norms become important.

[FACT] The Governing Council includes State/UT leadership. [ANALYSIS] It adds a federal accountability channel through political participation. [LIMIT] it is neither Parliament nor a binding federal chamber; uneven attendance, agenda-setting and weak action-taken disclosure can limit effective voice.

[FACT] NITI reports, indices and evaluations can shape policy and reputations. [ANALYSIS] Method publication, data audit and evaluation disclosure are therefore democratic-accountability issues, not merely technical choices. [LIMIT] implementing ministries and governments remain responsible for final legal and budget decisions, so accountability should not be displaced entirely onto NITI.

Reform should require a clear annual mandate-performance report, action-taken matrices, transparent index metadata, independent validation, reasoned responses to major evaluations and stronger parliamentary committee visibility. States should co-design key federal indicators.

Thus, statutory conversion is not the only solution. The goal is accountable flexibility: preserve an agile think-tank while making appointments, evidence, federal follow-up and policy influence more transparent.

Visual 67 - Accountability channels

EXECUTIVE ACCOUNTABILITY -> Cabinet / PM / ministries
 FEDERAL ACCOUNTABILITY ---> Governing Council / State response
 LEGISLATIVE VISIBILITY ---> reports / committees / budget scrutiny
 DATA ACCOUNTABILITY -----> methods / audit / revision / publication
 PUBLIC ACCOUNTABILITY -----> accessible evidence and action taken

M8. 20 marks, 250 words - Design a reform agenda for NITI Aayog that strengthens both federal trust and evidence-based governance.

Demand

Propose linked reforms, explain mechanism and avoid recreating the Planning Commission's command model.

Model solution

NITI reform should improve trust, evidence credibility and follow-through while retaining the flexibility of an executive policy institution.

First, institutionalise federal agenda-setting. [ANALYSIS] Circulate a predictable Governing Council calendar, invite State agenda proposals and publish an agreed action matrix assigning Union, State and joint responsibilities. [LIMIT] consensus should guide policy without pretending to override constitutional competence.

Second, make data co-owned and auditable. States should participate in indicator design; NITI should publish definitions, denominators, weights, missing-data rules and revision histories. Independent validation and citizen/qualitative evidence should supplement administrative dashboards. [ANALYSIS] This reduces ranking disputes and gaming. [LIMIT] audit cannot eliminate every measurement error.

Third, strengthen evaluation uptake. DMEO should publish major methods and findings, while the competent ministry or State provides a time-bound reasoned response: accept, modify or reject. [ANALYSIS] This converts evaluation from report production into accountable learning. [LIMIT] elected governments retain policy choice.

Fourth, deepen State and local capacity. State Institutions for Transformation should connect to State Cabinets and budgets, and local elected institutions should be involved where district/block reforms affect devolved subjects. [ANALYSIS] Capacity, not only comparison, determines outcomes.

Fifth, increase democratic visibility through an annual mandate-performance report and structured parliamentary committee examination. [LIMIT] detailed statutory micromanagement of every NITI division would sacrifice needed adaptability.

The reform principle is "persuasion with proof": no return to central plan grants, but stronger State voice, transparent evidence, assigned responsibility and public follow-up.

Visual 68 - M8 reform package

Goal	Reform	Mechanism
trust	co-designed agenda	genuine State voice
credibility	auditable indicators	reduces dispute/gaming
learning	ministry response to evaluation	closes feedback loop
capacity	budget-linked State institutions	improves uptake
democracy	annual report and committee scrutiny	visible accountability

Practice audit and rapid revision

Visual 69 - Practice coverage matrix

Domain	PYQ	Original MCQs	Remedials	Solved Mains
status and powers	yes	yes	yes	M1, M7
planning transition	2018 direct	yes	yes	M6
councils/federalism	yes	yes	yes	M2, M3
programmes/monitoring	2019 route	yes	yes	M4, M5
data and accountability	linked	yes	yes	M7, M8
current 2026 control	linked	yes	yes	M3

Visual 70 - Last-minute decision tree

IS THE QUESTION ABOUT SOURCE?

-> 2015 Cabinet resolution

IS IT ABOUT MONEY?

-> NITI advises; FC/Finance Ministry/legislatures own fiscal authority

IS IT ABOUT STATES?

-> Governing Council + SSM, then non-binding/participation limit

IS IT ABOUT PERFORMANCE?

-> 3C + delta + DMEQ, then data/gaming/causation limit

IS IT ABOUT COMPARISON?

-> same legal status as Planning Commission, different principle and leverage